the Reserve Bank monitored a host of variables—reserve money, money supply, industrial output, bond yields and equity prices—and juxtaposed that data against output and prices. As for multiple targets, price stability, growth and financial stability were the joint and simultaneous targets of monetary policy, with the inter se priority among them shifting in accordance with the evolving macroeconomic situation. In theory, this was unexceptionable as it allowed monetary policy to respond flexibly to the changing macro situation. In practice though, the multiple-indicator approach, which allowed the Reserve Bank to shift from one priority to another virtually seamlessly, confused the markets and fumbled our communication. It also diluted the Reserve Bank's accountability since any policy mix could be explained away as being consistent with the multiple-objective approach. Internally, we were deeply conscious of the need for our policy calibration to be logical and consistent, but communicating that remained a challenge always, with the result that our policy actions were sometimes criticized in the media and by some analysts as being inconsistent and, occasionally, even arbitrary.

Given this mixed record of the multiple-indicator, multiple-target approach, the shift to an inflation-targeting regime under Governor Rajan's leadership was, I believe, a well-advised move. In saying so, I am following the example of no less a luminary than Keynes whose famous riposte to a critic when accused of being a flip-flopper was: 'When the facts change, I change my mind. What do you do, sir?'

I believe that at least some of the facts underlying my reservations on inflation-targeting have changed. At a very practical level, we have today a composite all-India consumer price index with long enough historical data points to provide a nominal anchor for the inflation target.[1] Even though the government deviated from the fiscal road map in 2015–16, it reaffirmed its commitment to fiscal responsibility in its budget for the fiscal year 2016–17. The administered interest rate regime is being dismantled, with the government indexing the interest rates on small savings to the yield on government securities. That should ease the impediments to monetary policy transmission and support inflation-targeting. The food distribution